

INDIAN ECONOMY

LEVEL
II



LECTURES

A GLANCE AT INDIA'S
EXPORTS AND IMPORTS
OF MERCHANDISE GOODS

MODULE - 37



FOREIGN TRADE ... DOMESTIC CHALLENGES



- Labour and land issues makes the economy uncompetitive
- Limited/unreliable availability of power (in several states due to the failure of DISCOMs)
- Cross subsidization
- Low productivity of MSMEs
- Lack of adaptation of modern technology
- High logistics costs
- Embedded taxes
- High cost of credit, especially to MSMEs
- Higher turnaround time in the ports
- Quality-related issues.

DOES FTAs AUTOMATICALLY LEAD TO INCREASE IN EXPORTS? ... NEED NOT BE!



20%

CASE 1

2%

CASE 2

5%

2%

FTAs may result in increase in exports under two circumstances.

- 1) *When the normal MFN duty is high and when it is reduced substantially.*
- 2) *When the countries do not impose non-tariff barriers. India's apparel exports to Japan came down from \$255 million in 2010 to \$152 million in 2018, due to non-tariff barriers.*



CATEGORY A

- Electronics
- Computers
- Telecom
- Factory machinery and
- High-end engineering products.

These account for 70% of total Global Trade.





CATEGORY B

- Small diamonds
- Jewellery
- Rice
- Wheat
- Buffalo meat
- Textiles
- Medicines
- Auto components and
- Marine products.

These account for 30% of total Global Trade.



WHAT ABOUT INDIA'S STRENGTH IN EXPORTS?

CATEGORY A



- India's global share in such products is just around 0.4%.
- Hence, we can say that we have less capability in this category.

CATEGORY B

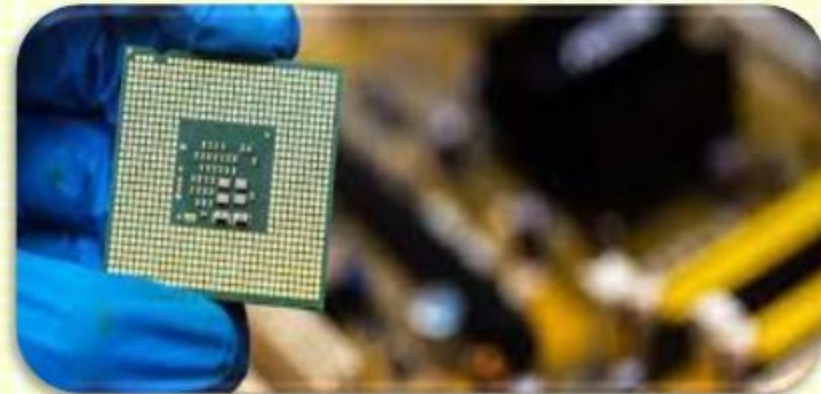


- India has a high global share in Category B products.
 - ✓ Small diamonds - 20%
 - ✓ Jewellery - 13%
 - ✓ Rice - 39%
 - ✓ Buffalo meat - 19%
 - ✓ Textiles - 4%
- Most of these products are labour-intensive and low-technology based and are prone to competition from low-cost countries.

INDIA'S THRUST ON ELECTRONICS INDUSTRY

- World over, electronics is recognized as a 'meta-resource'. It is the world's largest and fastest growing industry.
- With its impact in developing infrastructure, raising productivity, increasing efficiency in delivery of services, and enabling social transformation, it is identified as a key enabler in the country's economic development.
- The Government announced the National Policy on Electronics, 2019 on 25.02.2019 to position India as a global hub for Electronics System Design and Manufacturing (ESDM) components, including chipsets.

- Several Production Linked Incentive Schemes have been launched in the electronics ecosystem.



WHAT DO YOU KNOW ABOUT PRODUCTION LINKED INCENTIVE SCHEMES

- PLI schemes were launched in March 2020 to give push for achieving an AtmaNirbhar Bharat.
- The idea is to provide support to various sectors, regain dominance in global trade and to be more prepared for the volatilities and shocks in global supply chains, as opposed to the protectionist approach of the pre-1991 era.
- The objective is to boost domestic manufacturing in sunrise and strategic sectors, improve cost competitiveness of domestically manufactured goods, enhance domestic capacity and economies of scale. However, the critics view point is quite contrary to that of the Government.

- PLI is specifically designed to attract investments in sectors of core competency and cutting-edge technologies.
- This scheme is expected to make domestic manufacturing globally competitive and will create global champions in manufacturing.

The Government has already committed Rs.1.97 lakh crores over 5 years - starting from 2021-22 in 13 sectors and more and more sectors have been included from time to time.

NEW SERIES OF REER WITH BASE YEAR 2015-16 WAS INTRODUCED BY RBI



With the old series, there was a perennial complaint from the exporters that the rupee is over valued!

WHAT IS REAL EFFECTIVE EXCHANGE RATE?

- It is the standard measure used globally to gauge the value of the home currency against the weighted average value of the currencies of its trading partners divided by a price deflator or index.
- REER above 100 denotes that the home currency is overvalued and more expensive compared to its competitors.

WHAT WAS THE SYSTEM PRIOR TO 2021?

- RBI disseminated 6-currency and 36-currency based trade weighted and export weighted REER and NEER.
- NEER is Nominal Effective Exchange Rate, which is REER not adjusted for inflation.
- The previous series had 2004-05 as the base year.



WHAT CHANGED SINCE JANUARY, 2021?

- The new series of REER from January 2021 has the base year as 2015-16. The basket has been expanded from 36 to 40 currencies.
- The computation of trade weights has also been improved.
- The new basket represents around 88% of India's total trade as against 84% in the earlier 36-currency basket.

New REER appears to be a vast improvement over the previous series in depicting the rupee's over/under valuation.

QUALITY ISSUES ARE ALSO COMING UP QUITE OFTEN IN THE FORM OF NON-TARIFF BARRIERS!

PARAKH - A UNIFIED LABORATORY NETWORK WAS LAUNCHED

- Recognizing that testing and certification are crucial for enhancing the competitiveness of Indian goods and services, a portal called "PARAKH" has been set up in June 2021.
- All the accredited, certified and recognized laboratories in the country would be mapped on a Geographic Information System (GIS).
- This United Laboratory Network has been developed with the support of MeitY and Bhaskaracharya National Institute of Space Applications and Geo Informatics, Gujarat (BNISAGI).

- Over 6,580 laboratories have already been mapped on the portal, including NABL accredited laboratories. These include 477 BIS empaneled and recognized laboratories.
- The portal makes it possible to search labs for a particular product, standard, test method and find nearby labs.



उद्योग संवर्धन और आंतरिक व्यापार विभाग
DEPARTMENT FOR
PROMOTION OF INDUSTRY
AND INTERNAL TRADE



PARAKH
Unified Laboratory Network

WE EXPRESS OUR
SINCERE THANKS
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